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Date: November 19, 2023

Client: SILQ Technologies Corporation

Reference: SOW SIL 2023-01

Internal Audit Report: SIL-IAR-2023-01 (**SILQ Audit 23-01**)

Assessment Date(s): November 15th through 17th 2023

Background Information

SILQ Technologies was spun out of the University of California, Los Angeles with the vision to commercialize technology originally conceived in the Department of Chemistry and Biochemistry. The technology is a coating formulation that permanently transforms the surfaces of plastics and elastomers to confer highly desirable properties such as hydrophilicity, enhanced lubricity and resistance to biofilm formation. The developers of the formulation, Professor Richard Kaner and Dr. Brian McVerry, are co-founders of the company and are members of its Board, with Dr. McVerry also serving as Chief Technology Officer. Early research at UCLA was funded by grants from the National Science Foundation and UCLA's Physical Sciences Entrepreneurship and Innovation Fund. Subsequently, Dr. Jack Kavanaugh, a successful LA-based medical devices and biosciences entrepreneur, joined the effort and raised the capital needed for the company to further its business objectives. SILQ secured FDA clearance to market indwelling Foley catheters coated with its formulation in April 2020 and is currently pursuing additional opportunities for its proprietary chemistry in the medical, industrial and retail sectors.

Scope

The scope of the assessment encompassed the internal audit of the SILQ Technologies Corporation (STC) Quality Management System (QMS) in accordance with requirements delineated within: (a) ISO 13485:2016; and (b) 21 CFR, Parts 803, 806; & Part 820. Table 1.0 of this report contains a matrix mapping ISO 13485:2016 to 21 CFR, Par 820 requirements (*basic QMS elements*).

Table 1.0 – Quality, Regulatory, and Statutory Requirements

QUALITY SYSTEM ELEMENTS	ISO 13485	21 CFR 820
Quality Management System	**4**	
General Requirements	**4.1**	820.5
Documentation Requirements	**4.2**	820.40
General Requirements	4.2.1	820.40
Quality Manual	4.2.2	N/A
Medical Device File	4.2.3	820.30(j)
Document Controls	4.2.4	820.40
Control of Records	4.2.5	820.180 through.186
Management Responsibility	**5**	
Management Commitment	**5.1**	820.20
Customer Focus	**5.2**	N/A
Quality Policy	**5.3**	820.20(a)
Planning	**5.4**	820.20
Quality Objectives	5.4.1	820.20(a)
QMS Planning	5.4.2	820.20(d)
Responsibility, Authority, & Communication	**5.5**	820.20
Responsibility & Authority	5.5.1	820.20(a)
Management Representative	5.5.2	820.20(d)
Internal Communication	5.5.3	820.198
Management Review	**5.6**	820.20
General	5.6.1	820.20
Review Input	5.6.2	820.20
Review Output	5.6.3	820.20
Resource Management	**6**	
Provision of Resources	**6.1**	820.20(b)(1-2)
Human Resources	**6.2**	820.25
General	6.2.1	820.25
Competence, Awareness, & Training	6.2.2	820.25
Infrastructure	**6.3**	820.20(c)
Work Environment	**6.4**	820.70
Work Environment	6.4.1	820.70
Contamination Control	6.4.2	820.70
Product Realization	**7**	
Planning of Product Realization	**7.1**	820.20
Customer-Related Processes	**7.2**	N/A
Determination of Requirements Related to Products	7.2.1	820.70

QUALITY SYSTEM ELEMENTS	ISO 13485	21 CFR 820
Review of Requirements Related to Products	7.2.2	820.70
Customer Communication	7.2.3	820.160; 170; 198; 200
Design and Development	**7.3**	820.30
General Requirements	7.3.1	
Design & Development Planning	7.3.2	820.5; .30(b)
Design & Development Inputs	7.3.3	820.30(c)
Design & Development Outputs	7.3.4	820.30(d)
Design & Development Review	7.3.5	820.30 (e)
Design & Development Verification	7.3.6	820.30 (f)
Design & Development Validation	7.3.7	820.30 (g)
Design & Development Transfer	7.3.8	820.30
Control of Design & Development Changes	7.3.9	820.30 (g)(i)
Design & Development Files	7.3.10	820.30(j)
Purchasing	**7.4**	820.50
Purchasing Process	7.4.1	820.50(b)
Purchasing Information	7.4.2	820.50
Verification of Purchased Product	7.4.3	820.80
Production and Service Provision	**7.5**	820.70
Control of Production & Service Provision	7.5.1	820.70
Cleanliness of Products	7.5.2	820.70
Installation Activities	7.5.3	820.170
Servicing Activities	7.5.4	820.200
Particular Requirements for Sterile Medical Devices	7.5.5	820.70
Validation of Processes for Production and Service Provision	7.5.6	820.75
Particular Requirements for Validation of Processes for Sterilization and Sterile Barrier Systems	7.5.7	820.75
Identification	7.5.8	820.60
Traceability	7.5.9	820.65
Customer Property	7.5.10	N/A
Preservation of Product	7.5.11	820.120, .130, .140, & .150
Control of Monitoring and Measuring Devices	**7.6**	820.72
Measurement, Analysis, and Improvement	**8**	
Measurement, Analysis & Improvement – General	**8.1**	820.250
Monitoring & Measurement	**8.2**	820.70 & .75
Feedback	8.2.1	820.198
Complaint Handling	8.2.2	820.198
Reporting to Regulatory Authorities	8.2.3	820.198
Internal Audit	8.2.4	820.22
Monitoring & Measuring of Processes	8.2.5	820.70 & .75
Monitoring & Measuring of Products	8.2.6	820.70 & .75
Control of Non-Conforming Material	**8.3**	820.90
General	8.3.1	820.90
Actions in Response to Nonconforming Product Detected Before Delivery	8.3.2	820.90

QUALITY SYSTEM ELEMENTS	ISO 13485	21 CFR 820
Actions in Response to Nonconforming Product Detected After Delivery	8.3.3	820.90
Rework	8.3.4	820.90
Analysis of Data	**8.4**	820 .80; .86; .250
Improvement	**8.5**	820.100
Improvement – General	8.5.1	820.100
Corrective Action	8.5.2	820.100
Preventive Action	8.5.3	820.100

Primary Audit Participants:

Dr. Christopher J. Devine – President, DGII

Bryan Wong – Director of Quality, STC

Quality Management System – Clause 4

The SILQ Quality Management System (QMS) complies with 21 CFR, Part 820 and ISO 13485:2016 requirements. SILQ procedures scripted in support of the QMS processes have been clearly identified. *Note: SILQ has implemented an organizational chart; QM.SLQ034.E – Organization Chart.* The SILQ QMS has been scripted to ensure risk management has been appropriately addressed within:

- QM.SLQ012.B – Risk Management; and
- QM.SLQ013.B – Risk Analysis.

SILQ quality processes reviewed in support of this audit have been adequately defined. The following processes are outsourced:

- Contract Manufacturing;
- Metrology;
- QA & RA Support, as needed;
- Sterilization;
- Medical Device Distribution; and
- Audits.

Software employed by SILQ (File Hold), in support of the QMS, has been validated.

The SILQ Quality Policy has been documented within QM.SLQ035.A – Quality Policy. Policies and procedures required by 21 CFR, Part 820 and ISO 13485:2016 have been appropriately implemented, as applicable. Quality planning activities are pursued in accordance with QM.SLQ025.A – Quality Planning. SILQ has implemented a Quality Manual (QM.SLQ027.B – Quality Manual). In accordance with 2.2.1 through 2.2.4 of QM.SLQ027.B; the following clauses have been identified as Not Applicable:

- Clause 7.5.3 of ISO 13485:2016 – Installation Activities;
- Clause 7.5.4 of ISO 13485:2016 – Servicing activities;
- Clause 7.5.9.2 of ISO 13485:2016 – Particular Requirements for Implantable Medical Devices; and
- Clause 7.5.10 of ISO 13485:2016 – Customer Property.

In accordance with 4.2.5 of QM.SLQ027.A; The Medical Device File (MDF) requirement is achieved through the use of a DMR (*reference: a DMR is a compilation of records containing the procedures and specifications for a finished device, also referred to as the Medical Device File*).

In support of this assessment, the following DMR (*Note: Pathway controls the DMR*) was reviewed: SLQ-211810.A (SILQ-2-Way Cleared 18Fr x 10Mi Catheter, Sterile, 10-packs). *Note: the DMR is comprised of nine (9) documents.*

Documents are managed in accordance with QM.SLQ001.A – Document Control. The electronic document management process is delineated within QM SLQ014.B – Electronic Document System Work Instruction. For 2023, 12 DCOs were processed. In support of this assessment, the following DCOs were reviewed:

- DCO059;
- DCO061;
- DCO062;
- DCO064;
- DCO065;
- DCO068; and
- DCO069.

The following types of records were reviewed in support of this assessment:

- FDA Establishment Registration;

- Organizational Chart;
- Quality Manual;
- SOPs;
- WIs;
- DCOs;
- DMRs;
- Risk Management Docs (RMP, RMR, & FMEA's);
- Management Review (including data & analysis)
- Sales Orders;
- Supplier Certifications;
- Supplier Surveys;
- DHF Documents;
- Calibration Certificates;
- Process Validations;
- NCRs (Pathway);
- Complaints;
- Fume Hood Testing; and
- Workstation Practices Procedures.

Good Documentation Practices (QM.SLQ002.B – Good Documentation Practices) has been implemented in support of sustaining GDP at SILQ. In accordance with 19.1 of QM.SLQ001.A; records are retained in File Hold. In accordance with 19.6 of QM.SLQ001.A; "*all quality system documents (and records) are to be retained for a minimum of 5 years based on the maximum potential lifetime of the medical device products at SILQ as required by ISO 13485 (Section 4.2.5 Control of Records), 21 CFR Part 820 (Subpart M Records) and MDD (Annex II Section 6.1, Annex V/VI Section 5/1). See Appendix 3 for retention requirements for all quality record types.*"

Management Responsibility – Clause 5

In Management communicates the importance of meeting customer requirements In accordance with 5.2 of QM.SLQ036.C – Sales Order SOP. The Chief Commercial Officer is tasked with:

- "Reviews initiated sales orders and determines if customer requirements and applicable regulatory requirements can be met. If requirements can be met, Operations/Manufacturing approves the sales order.

- Works with applicable CMO to ensure product is shipped in accordance with the approved sales order.

- Ensures that traceability of shipped product to consignees and other relevant shipping information is maintained."

As of this audit, the quality objectives are under development. This was also noted in the Dec 2022 Management Review Meeting Minutes. This issue has been documented as a concern in Table 2.0 of this report.

SILQ management reviews are managed in accordance with QM.SLQ018.A – Management Review. In accordance with 6.1.1 of QM.SLQ018.A; "*at a minimum, Senior Management will hold meetings annually to review product quality and the effectiveness, suitability and adequacy of the Quality System to meet the company quality goals. If serious quality issues arise, it may be necessary to meet more frequently."* Management communicates the importance of meeting customer requirements In accordance with 5.2 of QM.SLQ036.C – Sales Order SOP. The Chief Commercial Officer is tasked with:

- "Reviews initiated sales orders and determines if customer requirements and applicable regulatory requirements can be met. If requirements can be met, Operations/Manufacturing approves the sales order.

- Works with applicable CMO to ensure product is shipped in accordance with the approved sales order.

- Ensures that traceability of shipped product to consignees and other relevant shipping information is maintained."

The SILQ Quality Policy has been documented within QM.SLQ035.A – Quality Policy. The policy is stated as:

"Patient care is the focus of all SILQ activities. We endeavor to meet or exceed our customers' satisfaction and expectations with safe and effective coated medical devices of the highest quality and that meets all applicable regulatory requirements."

"Each SILQ employee is personally committed to achieving this goal and continually improving our ability to maintain customer focus by operating a highly effective quality system that meets the requirements of applicable global standards and regulatory requirements."

The SILQ quality policy is appropriate for the organization and meets the intent of 21 CFR, Part 820 and ISO 13485:2016 requirements.

SILQ pursues QMS planning in accordance with QM.SLQ025.A – Quality Planning. In accordance with 7.5.1 of QM.SLQ027.B; responsibility and authority are delineated through the use of the SILQ Organizational Chart. In accordance with QM.SLQ034.E – Organization Chart; Tavi Cruz-Uribe (VP of QA) is the designated management representative. In accordance with 7.5.3 of QM.SLQ027.B; "*SILQ ensures effective communication between its various levels and functions regarding the processes of the quality management system and their effectiveness, suitability, and adequacy through periodic company meetings and Management Reviews. It is also the responsibility of each Manager or department head to ensure all relevant information is passed on to their functions.*"

In accordance with 6.1.1 of QM.SLQ018.A; management reviews are to be held annually, as a minimum. The initial SILQ Management Review was held on 21 December 2022. The review was well-attended by the SILQ management team. As a minimum, the following agenda items are delineated within 6.3 of QM.SLQ018.A:

- "*Review of minutes and action items from the previous Management Review (required at each meeting);*
- *Review of the Quality Policy;*
- *Review of quality objectives;*
- *Results, actions and status of internal audits, regulatory agency inspections and notified body audits;*

- *Status of the Corrective and Preventive Action System;*
- *Review of Product Complaint trends;*
- *Review of Production Data including nonconformities;*
- *Review of Training System performance;*
- *Post Market Surveillance / Customer Feedback;*
- *Review of reporting to regulatory authorities;*
- *Review of statistical techniques (sampling plans) used to evaluate the quality of components, materials and finished goods to assure continued applicability;*
- *Review of supplier performance;*
- *Changes that could affect the quality management system;*
- *Recommendations for improvement;*
- *New or revised standards and regulatory requirements;*
- *Review of Risk Management Activities;*
- *Review status of Design Control Activities; and*
- *Review of Resource Requirements and current staffing levels.*"

Review outputs, delineated within 6.9 of QM.SLQ018.A, consist of:

- "*Improvements needed to maintain the effectiveness, suitability and adequacy of the quality management system and its processes;*
- *Improvement of product related to customer requirements;*
- *Changes needed to respond to applicable new or revised regulatory requirements;*
- *Resource needs; and*
- *Quality objectives established.*"

Resource Management – Clause 6

In accordance with section 8.2 (Human Resources) of QM.SLQ027.B; "*management identifies training needs and provides training for all personnel performing tasks affecting quality as required. Training and effectiveness of training is conducted in accordance with established procedures by qualified individuals. Appropriate records of education, experience, training, and skills are maintained.*" In accordance with 8.2 of QM.SLQ027.B; "*personnel performing work affecting product quality are selected based on required competencies,* *appropriate education, training (internal and/or external), skills, and experience*."

SILQ manages employee training in accordance with QM.SLQ003.B – Employee Training. In accordance with 6.1 of QM.SLQ003.B; "*all SILQ personnel and contractors / consultants are to be determined competent to perform their job based on appropriate education, experience, skills and training. Management and at least one other departmental representative conduct candidate interviews and complete reference checks as applicable. Documentation of the employee's and contractor's / consultant's qualifications (e.g., resume) is filed in the respective employee file*." SILQ records for training are managed in accordance with Section 10 of QM.SLQ003.B. Training records are retained in File Hold. In support of this assessment, the following training records were reviewed:

- Training Matrix: President/CEO;
- QM.SLQ016.C – CAPA (01-31-23) – V. Sharma;
- Training Matrix: QA Director;
- QM.SLQ019.C – ID & Traceability (10-11-22) – B. Wong;
- Training Matrix: Quality Specialist; and
- QM.SLQ0001. A – Document Control (10-12-20) – D. Porter.

Note: this assessment was remote; therefore, the facility and equipment were not assessed during this audit. The primary facility is essentially office space and the Chico, CA facility manufactures a coating. Manufacturing occurs at a critical subcontractor facility. The manufacturing environment is required to be in a Clean Room. *Note: manufacturing at the Chico facility is managed in accordance with Good Laboratory Practices (fume hoods are used).* The Fume Hood is tested by Independent Air Group (HVAC Test & Balance Report). The following test report for EF-1 was reviewed (Dec 2022). Additionally, in accordance with section 13 of QM.SLQ049.A – Workstation Practices, requirements for working in the Chico facility (under the Fume Hood) is defined by procedure. In accordance with 8.5 of QM.SLQ027.A; "*CMOs that provide product or services are selected based on their ability to fulfill applicable requirements for work environment and contamination control.*"

Note: SILQ does not handle contaminated product. Contaminated product shall be returned to the contract manufacturer for failure investigations. SILQ does not maintain a Controlled Environment Room (CER) in the Florida facility (office space only).

Product Realization – Clause 7

SILQ product realization requirements are delineated within the Device Master Record (DMR). As previously noted in this report, the DMR doubles as the MDF. *Note: the DMR is retained by the critical subcontractor.* As previously noted in this report, DMR SLQ-211810.A was reviewed. Product realization activities are performed in accordance with requirements delineated within the SILQ QMS. Requirements associated with SILQ products are delineated within the product specification and translated into requirements needed for product realization through the DMR. Processes needed for successful product realization are developed in conjunction with the critical subcontractor. Requirements for verification, validation, monitoring, inspection, and test activities, necessary to facilitate product realization, are developed in conjunction with the critical subcontractor. Records associated with the performance of product realization activities are retained in the Device History Records (DHR). The output of product realization is a finished SILQ device that is safe and effective in its intended use.

Requirements for SILQ devices are determined during the design and development phase of product realization. The requirements, once determined, are documented within the product specification. Customer orders are reviewed in accordance with 6.3 of QM.SLQ036.C – Sales Order. In accordance with 6.1.4 of QM.SLQ036.C; "if there are any requirements not stated by the customer but necessary for specified or intended use, a SILQ associate will confirm these requirements with the customer before accepting the order. In accordance with 6.3.1.3 of QM.SLQ036.C; requirements differing from previous orders are required to be resolved prior to order acceptance. In support of this assessment, the following sales-order forms were reviewed (Sage):

- SO # 0000050;
- SO # 0000053;
- SO # 0000059;
- SO # 0000064;
- SO # 0000067;
- SO # 0000069; and
- SO # 0000072.

Requirements reviewed as part of the sales order review process are delineated within 6.1.2.1 through 6.1.2.10 of QM.SLQ036.C and consist of:

- Customer contact information;
- Recipient (e.g., Ship To) contact information;
- Product and quantity requested, including cost;
- Sales order number;
- Customer purchase order number, if available;
- Sales order date (e.g., date when sales order was initiated);
- Name of SILQ Sales/Customer Service representative receiving the sales order;
- Method of shipment;
- Required delivery date; and
- Any additional requirements specified by the customer, including requirements for delivery and post-delivery activities.

Changes made to product(s) are managed as part of the design and development process. In accordance with 6.1.1 of QMSLQ036.C; "*if the customer requests a product that is a SILQ current part number, a Sales/Customer Service associate (or designee) receives the customer's order from phone, fax, or other means and initiates the sales order*."

Multiple procedures have been scripted in support of design and development activities:

- QM.SLQ004.A – Design Control Program;
- QM.SLQ005.B – Design Project Planning;
- QM.SLQ006.A – Design Input;
- QM.SLQ007.A – Design Output;
- QM.SLQ008.A – Design Review;
- QM.SLQ009.A – Design Verification & Validation;
- QM.SLQ010.A – Design Transfer; and
- QM.SLQ011.A – Statistical techniques – Work Instruction.

QM.SLQ005.B – Design Project Planning has been scripted in support of design and development planning. *Note: SILQ has one Class 2 device cleared by FDA (reference K192034).* In accordance with 5.3 of QM.SLQ005.B – Design Project Planning, project managers are tasked with communicating roles, responsibilities, and project requirements to the project team. Project # 00053 – SILQ Clear Tract Foley Catheter Supra Pubic Indications for Use (USA) was audited in support of design control compliance.

SILQ requirements for design inputs are defined within QM.SLQ006.A – Design Input. Design inputs are placed into the product specification. In support of this audit, PS-0006, Rev E – Product Specification / Traceability Matrix – SILQ Foley Products (Pathway) was reviewed (*note: reference Project 00053*. The design and development inputs are reviewed and approved during design review. In accordance with 1.2 of QM.SLQ006.A; this procedure describes the general process to identify, document and approve user needs and product requirements for a given product. In addition, this procedure details a system to resolve incomplete, ambiguous, or conflicting product requirements

Design outputs are managed in accordance with QM.SLQ007.A – Design Output. Design outputs are identified during phase reviews. Once the design team agrees on the required outputs, they are documented within the product specification. Purchasing will employ the design outputs in support of identifying suppliers needed to support product realization. The criterion for product acceptance is documented in the product specification and in inspection documentation. The characteristic and user information needed for the safe and effective use of SILQ devices are placed into the IFU. Records of design and development activities are retained in the Design History File (DHF).

Design Reviews are being pursued in accordance with QM.SLQ008.A – Design Review.

- "At a minimum, a representative from Quality Assurance, R&D/Engineering, and Manufacturing must attend the design review. When appropriate, additional representatives from other departments or other subject matter experts are to attend if requested or deemed necessary."

- "An independent reviewer, not directly associated with the design stage being reviewed, is to attend all design reviews. The independent reviewer is to be identified by Quality Assurance management."

In support of this assessment, the following phase reviews was reviewed; Project # 00053 – SILQ Clear Tract Foley Catheter Supra Pubic Indications for Use (USA) (*reference PS-0006, Rev E*). *Note: Testing was performed by LGGS*.

The following documents were reviewed in support of this assessment:

- RM-0018, Rev D – RMP, HDX Foley Catheter;
- RM-0019, Rev D – Hazard Analysis (RMP) HDX Foley Catheter;

- RM-0020, Rev D – dFMEA – RMR, HDX Foley Catheter;
- SLQ.211605, Rev A- SILQ 2-Way Cleartract 16 Fr x 5ml – BOM;
- RM-0021, Rev D – pFMEA – RMR, HDX Foley Catheter; and
- TR.SLQ-0012, Rev A – Bio-compatibility Testing in Accordance with ISO 10993-1:2018.

RM-0019, Rev D is referencing ISO 14971:2012 requirements in the tables. Recommend that the risk management documentation be reviewed and updated to reflect ISO 14971:2019 requirements.

DV activities are pursued in accordance with QM.SLQ009.A – Design Verification & Validation. DV protocols and reports are reviewed and approved by SILQ and retained by the critical subcontractor. DVAL activities are pursued in accordance with QM.SLQ009.A – Design Verification & Validation Protocols and reports reviewed by this auditor reflect the individuals performing and approving DVAL activities. When DVAL activities are not performed, adoption reports are scripted providing adequate rationale as to why DVAL was not pursued; e.g., TR-0075, Rev B – Sterilization Product Adoption, HDX 2-Way Foley Catheter. There have been no changes required to be made to TR-0075, Rev B.

SILQ design transfer activities are managed in accordance with QM.SLQ010.A – Design Transfer. Design changes are managed in accordance with section 16 (Design Changes) of QM.SLQ004.A. Design control is managed by Pathway. The design control records are being managed in accordance with the Pathway QMS. *Note: Pathway is assessed annually by SILQ*. In accordance with 16.2 of QM .SLQ004.A; "in cases where major changes to a product line are made, an updated or supplemental Design Project Scope Form (FM1-QM.SLQ004) is to be completed to determine the extent of design control activities required." In accordance with 16.4 of QM.SLQ004.A; "*design changes are to be handled through the document change order process as described in the QM.SLQ001, Document Control SOP*." In accordance with section 15 (Design History File) of QM.SLQ004.A; design and development files are retained in the DHF (managed by Pathway).

Procurement activities are managed in accordance with QM.SLQ020.B – Purchasing Controls. In accordance with 7.7 of QM.SLQ020.B; "*products and services are only to be purchased from suppliers, contractors and consultants listed on the Approved Supplier List (ASL) and only for those product and service types for which they have been qualified (as* *specified on the ASL).*" Additionally, the use of purchase orders and receiving inspection support the procurement of conforming products and services. In accordance with 7.8 of QM.SLQ020.B; "*purchasing of products must be in accordance with released, document controlled product specifications (i.e., engineering drawing, source control drawing, etc.)*."

Supplier controls implemented by SIILQ are determined premised on product and supplier risk. SILQ suppliers are selected and evaluated in accordance with QM.SLQ015.B – Supplier Quality Assurance. Suppliers are placed into one of five categories defined within 7.1 through 7.5 of QM.SLQ015.B. The categories are premised on risk. In support of this assessment the following suppliers were reviewed:

- Cole-Parmer (Class IV) – Supplier Quality Self-Assessment Survey Form;
- Firefly Scientific (Class III) – ISO/IEC 17025:2017;
- Micro Precision (Class III) – ISO/IEC 17025:2017;
- Pathway (Class I) – ISO 13485:2016; and
- Repligen (Class III) – ISO 9001:2015.

In support of this assessment, the following purchasing/supplier quality records were reviewed:

- ASL (FM-6 QMS.SLQ015.B – Approved Suppliers List);
- Supplier Agreements;
- ISO Certifications;
- Self-Assessment Surveys; and
- On-site Surveys.

The creation and use of purchase orders is defined within section 7 (Purchasing) of QM.SLQ020.B. In accordance with 7.1 of QM.SLQ020.B; "*purchase Orders (P.O.) constitute a contract between SILQ and a supplier, contractor or consultant and may be issued only by authorized purchasing personnel, with department specific approvals as described in this procedure*." Special requirements for supplier, including supplier qualifications, will be delineated through the use of purchase orders, contracts, drawings, and relevant attachments.

SILQ has established a procedure for receiving inspection; QM.SLQ039.B – Receiving Inspection. Note: *SILQ retains the right of access for their supplier base; however, SILQ does not typically perform source inspection*. SILQ and SILQ's critical subcontractor employ all available tools to support product realization activities. However, as previously noted, a critical subcontractor is tasked with performing manufacturing activities.

In accordance with 7.6 of QM.SLQ019.C – Identification and Traceability; "batch or lot numbers that have been assigned by the manufacturer (supplier) are acceptable to maintain and reference in the DHR, without having to assign a new identifying number." Product cleanliness requirements are determined in conjunction with the critical subcontractor. SILQ products are assembled in a controlled environment (Clean Room). Product is appropriately cleaned prior to shipment for terminal sterilization through the use of EO.

- *Note: Clause 7.5.3 has been declared as "N/A" in the quality manual (QM.SLQ027.B).*
- *Note: Clause 7.5.4 has been declared as "N/A" in the quality manual (QM.SLQ027.B).*
- *Note: Clause 7.5.10 has been declared as "N/A" in the quality manual (QM.SLQ027.B).*

Terminal sterilization is performed using EO. Sterilization records are managed through the use of a batch number. The sterile load records are retained in the DHR.

Process validation activities are managed in accordance with QM.SLQ047.A – Process Validation. *Note: Process Validation (PV) activities are the responsibility of the critical subcontractor; however, SILQ is tasked with the review and approval of PV activities, as appropriate.* In support of this assessment, the following PV's were reviewed:

- TR-017, Rev A – IQ Coater;
- TR-HDX-0005, Rev A – OQ – Hydrophilix Foley Catheter Surface Treatment Using the Automation Machine;
- TR-HDX-0006, Rev A – PQ – Hydrophilix Foley Catheter Surface Treatment process;
- TR-0137, Rev A – IQ –Checklist Spectrophotometer; and
- TR-0122, rev A – TMV – Measurement System Analysis, UV Light Absorbance Test, Hydrophilix Products.

All processes employed in support of product realization are either validated or verified through inspection and/or test. Changes made to processes are assessed for the need to repeat partial PV testing or the entire PV protocol. SILQ validates software in accordance with the requirements delineated within QM.QLS032.A – Software Validation.

The SILQ sterilization was qualified through an adoption study; TR-0075, Rev B – Sterilization Product Adoption, HDX 2-Way Foley Catheter. *Note: there have been zero need(s) to update the adoption report in 2023. No significant material changes have been made to SILQ finished devices.*

In accordance with 7.6 of QM.SLQ019.C – Identification and Traceability; "*batch or lot numbers that have been assigned by the manufacturer (supplier) are acceptable to maintain and reference in the DHR, without having to assign a new identifying number.*" Product identification and traceability activities are managed in accordance with QM.SLQ019.C – Identification and Traceability. *Note: SILQ medical devices are not returned to SILQ, devices are returned to Pathway, LLC.* Pathway performs device decontaminations, failure investigation activities, and provides SILQ with copies of the failure reports.

Product identification and traceability activities are managed in accordance with QM.SLQ019.C – Identification and Traceability. Finished device traceability is managed in accordance with section 10 (Finished Device Traceability) of QM.SLC019.C. The critical subcontractor is tasked with the assignment of batch numbers. Records of materials procured for medical device manufacturing are managed in accordance with 7.1 of QM.SLQ019.C; "all purchased products including raw materials, components, fabricated parts, finished goods, manufacturing materials, and supplies are to have unique part numbers assigned and a corresponding specification developed and released."

In accordance with 13.5 of QM.SLQ027.B; "*Purchased product is subjected to incoming acceptance activities. In-process inspections are in the form of operator-based inspections. Acceptance activities are established and recorded to ensure product conformity. Finished products are subjected to a final inspection*." "*Products are released by Quality Assurance of applicable CMO for distribution after all specified activities have been satisfactorily completed and required documentation of the product has been verified*." Records are available through Ship Station Software (managed by Pathway). The sales order is opened by SILQ and the product is shipped by Pathway.

In accordance with 12.6 of QM.SLQ027.B:

- "Designated storage areas are established to prevent damage, deterioration or contamination of the product pending delivery. This preservation includes identification, handling, packaging, storage and protection. Preservation shall also apply to the component level."

- "Finished product and components are used subject to FIFO (First-In First-Out) practices. Prior to shipping, product shall be assessed to ensure expiration dates, if applicable, have not been exceeded."
- "Product known to be subject to deterioration over time shall be identified and assessed at defined intervals. If applicable, product with a limited shelf life is identified as such with an expiration date on receipt into stock."
- "Components shall be maintained according to any special storage conditions indicated."

Specific processes employed in support of product realization and instructions for the product preservation are the responsibility of the critical subcontractor. Materials that have a shelf-life or special handling and storage requirement are managed by the critical subcontractor.

Measuring and monitoring equipment necessary to support effective product realization is selected and managed by the CMO. Metrology activities are managed in accordance with QM.SLQ050.A – Calibration and Preventive Maintenance. In accordance with 11.3 of QM.SLQ050.A; "*calibration shall be done to a NIST traceable standard. Calibrations to other than NIST traceable standards shall have a documented rational for use of that standard and be filed with the equipment file.*" The adjusting and re-adjusting of measuring and monitoring equipment will be managed by the CMO as part of the calibration process. In accordance with 11.1 of QM.SLQ050.A; measuring and monitoring equipment shall be identified with a calibration label. "*Calibration labels will include: calibration date, initials of person who performed the calibration, and calibration due date*." Only SILQ personnel that have been trained to use measuring and monitoring equipment shall be permitted to use measuring and monitoring equipment. In support of preventing damage, the handling of measuring and monitoring equipment is managed in accordance with 12.1 of QM.SLQ050.A. "*All measurement equipment shall be handled, stored, packaged, and transported (as applicable) in a manner that will not adversely affect the calibration or condition of the equipment*."

Verifying the validity of calibration results is managed in accordance with 11.9.1 of QM.SLQ050.A; Out-of-tolerance conditions, non-conformances and/or other discrepancies associated with measuring and monitoring equipment shall be managed in accordance with 11.9 of QM.SLQ050.A. In accordance with 11.9.1 of QM.SLQ050.A;"*Quality Assurance shall investigate and assess the validity of the previous measuring results. An evaluation shall be performed of any adverse impact on product quality and affected product shall be dispositioned appropriately."* In support of this assessment, the following calibration records were reviewed:

- MS6300-M Empex Sealer (Pathway/Transcat) – Due 04/11/2024;
- LAF5769 Scale (Past Due Cal) – Due 10/03/2023;
- ST-006 Platform Scale (Past Due Cal) – Due 09/07/2023;
- ST-007 Platform Scale (Past Due Cal) – Due 09/09/2023; and
- FF-0.2 Firefly Science Filter – Due 10/30/2025.

Tag/Out log out policy to prevent use of uncalibrated equipment needs to be enforced. This issue has been documented as a concern in Table 2.0 of this report. *Note: there is no requirement to calibrate equipment within its stated cycle; however, if a decision is made not to calibrate equipment due to lack of need, the equipment shall be adequately identified as to its status as to prevent use.* SILQ does not employ software in support of the metrology function. Micro Precision (California) is the primary provider of metrology support. Micro Precision is an ISO/IEC 17025:2017 accredited facility.

Measurement, Analysis, and Improvement – Clause 8

In accordance with 13.7 (Analysis of Data), the following metrics are being compiled and reviewed as part of management review, for example:

- Customer feedback;
- Conformity to product requirements;
- Characteristics and trends of processes and products;
- Internal audit results;
- Supplier quality performance; and
- CAPA.

QM.SLQ011.A – Statistical Techniques Work Instruction contains statistical modalities employed by SILQ. SILQ assesses metrics compiled from multiple areas. The data collected is used to drive continuous improvement. Tools used in support of measurement, analysis, and improvement are be internal audits; complaints; management review and CAPA. The employment of statistical modalities by SILQ is delineated within QM.SLQ011.A – Statistical Techniques Work Instruction.

Post-market data collected, in support of post-market surveillance is delineated within Table 1.0 (Examples of PMS Data) of QM.SLQ033.A – Post-Market Surveillance. Feedback activities are managed in accordance with 6.3 of QM.SLQ033.A – Post-Market Surveillance; "*feedback information is analyzed and if necessary corrective and / or preventive actions are initiated per the CAPA procedure QM.SLQ016*." Post-market surveillance activities are pursued in accordance with QM.SLQ033.A. In accordance with 6.1 of QM.SLQ033.A; "*a Post-Market Surveillance (PMS) Plan for each device shall be established. The requirements for the PMS Plan should be directly proportional to the risk associated with the device based on its intended use*."

Complaints received by SILQ are managed in accordance with QM.SLQ021.C – Product Complaint System. As scripted, QM.SLQ021.C meets the requirements delineated within 21 CFR, Part 820.198 and ISO 13485:2016, Clause 8.2.2. Advisory notices are managed in accordance with QM.SLQ030.A – Advisory Notices and Recalls. In support of this assessment, the following compliant files were reviewed:

- PCF 2023001 Opened 29 Mar 2023 / Closed 03 Apr 2023;
- PCF 2023002 Opened 15 May 2023 / Closed16 May 2023; and
- PCF 2023003 Opened 15 Nov 2023 / Closed 16 Nov 2023.

Regulators expect to see some level of clinical oversight for decisions made regarding adverse events and potential patient injury. The current practice currently enforced by FDA is to ensure an individual with a clinical background also review and approve decisions pertaining to the need to file an adverse event (eMDR) with FDA or pursue similar actions with other regulatory bodies. Information associated with a complaint investigation will be shared with reporting parties, if it has been requested. SILQ investigates all product complaints received impacting SILQ products. *Note: SILQ has never issued an advisory*.

There are four (4) procedures employed in support of reporting to regulatory authorities:

- QM.SLQ022.A – Medical Device Reporting;
- QM.SLQ023.A – eMDR Submission Work Instruction;

- QM.SLQ030.A – Advisory Notices and Recalls; and
- QM.SLQ033.A – Post-Market Surveillance.

As of this assessment, two procedures scripted are US FDA centric: (a) QM.SLQ022.A – Medical Device Reporting; and (b) QM.SLQ023.A – eMDR Submission Work Instruction.

The SILQ Internal Audit Program is documented within QM.SLQ017.A – Internal Audits. The SILQ Internal Audit Program is used to assess all aspects of the QMS. The audit program will gage the level of QMS with applicable quality, regulatory, and statutory requirements. *Note: This assessment was the second audit of the SILQ QMS by Dr. Devine.* In accordance with 2.1 of QM.SLQ017.A; "*internal audits per this procedure are limited to those elements of the organization subject to the Quality Management System. Qualified external auditors may be utilized to perform part of, or all, functions of this procedure*." Dr. Devine is a trained and qualified auditor with 42-years of industry experience.

Note: DGII auditors cannot assess the adequacy of the audits that they perform. However, DGII can attest to the fact that audits are being performed in accordance with ISO 19011 requirements and in compliance with ISO 13485:2016, 21 CFR, Part 820, and applicable quality, regulatory, and statutory requirements. It is the responsibility of the client to ascertain if this audit meets their requirements.

In accordance with 10.5 of QM.SLQ017.A; CAPAs will be opened and assigned to department managers for mitigation, when audit non-conformances are noted. In accordance with10.2 of QM.SLQ017.A; "*all observations from the audit shall be communicated/discussed to ensure correct interpretation and to allow any open issues to be resolved prior to issuing the final audit report, FM3-QM.SLQ017.*"

Tools employed in support of the monitoring and measurement of the QMS includes:

- Management reviews;
- Complaints;
- Internal audits;
- CAPAs; and
- Quality Objectives.

When the QMS fails to meet performance expectations, CAPA will be pursued to mitigate QMS performance issues. The CMO (Pathway) performs a final inspection premised on requirements delineated within the DMR. The performance of monitoring and measuring occurs throughout product realization. Evidence of product conformity with the DMR is maintained through the DHR. SILQ is tasked with the formal release of finished device. The distribution and shipment of finished devices is performed by the CMO. SILQ finished devices, that successfully complete final acceptance, are permitted to be released into commercialization.

In support of this assessment, the following Pathway NCRs were reviewed:

- NCR 22-0009 Opened 11/01/2022 – Sort;
- NCR 22-0010 Opened 11/01/2022 – Sort;
- NCR 22-0011 Opened 11/01/2022 – Scrap;
- NCR 22-0013 Opened 11/01/2022 – UAI;
- NCR 22-0016 Opened 11/01/2022 – UAI; and
- NCR 22-0017 Opened 11/01/2022 – UAI.

Non-conforming products are managed in accordance with QM.SLQ040.A – Nonconforming Materials. In accordance with 11.2 of QM.SLQ040.A; "*a copy of the closed NCMR is to be included, or referenced, in the appropriate files and batch records / DHR's as required by each specific disposition*." Nonconforming product identified, prior to shipment, will be reworked. If a concession request is made by the CMO, the concession will require review and approval of SILQ. Non-conformances detected after shipment will be recalled in accordance with QM.SLQ030.A – Advisory Notices and Recalls. The issuance of advisory notices is managed in accordance with QM.SLQ030.A – Advisory Notices and Recalls. In accordance with 10.6.4.1 of QM.SLQ040.A; "*rework and re-test and/or re-inspection of product, parts, or materials are to be performed in accordance with instructions provided in NCMR or established manufacturing procedures or to an approved and released Temporary Deviation*." All rework is required to be cycled back through the inspection process. However rework is not typical.

The quality manual contains sufficient granularity documenting the data collected from key functional areas and trended to drive continuous improvement. *Note: Typically this type of information is delineated in a stand-alone SOP due to its relevance to an organization and the need to trend data for determining continuous improvement activities.* Premised on the data delineated through the management review process; the following data was reviewed during management review:

- Audits;
- Regulator Inspections (FDA);
- CAPAs (zero in 2022)
- Complaints;
- NCRs
- Training
- Post-Market Surveillance & Customer Feedback;
- Sampling Plans (statistics);
- Supplier Performance;
- QMS Changes;
- Recommendations for Improvement;
- New and/or Revised Regulatory Requirements;
- Risk Management;
- Design Control; and
- Resources.

Feedback received from customers is garnered from the complaint system. Information compiled from complaints will be used to drive product improvement(s). Production yield information collected from the CMO is used to ascertain compliance levels versus the DMR. Supplier performance is measured in accordance with their ability to meet SILQ procurement requirements. Collectively, all of the data collected and analyzed is used to determine SILQ's ability meet customer requirements. The results of data trended and the subsequent analysis is retained as part of the management review.

SILQ has revised multiple SOPs since the 2022 audit, which reflects that the QMS is improving. Tools that will be used to drive continuous improvement of the QMS will be: (a) training; (b) management review; (c) audits (internal & supplier); (d) complaints and customer feedback; and (e) CAPA.

The requirements for pursuing CAPA are delineated within QM.SLQ016.B – Corrective and Preventive Action. SILQ has not pursued corrective and/or preventive actions in 2023. Preventive action activities will be identified premised on their ability to prevent nonconformities from occurring.

CFR, Part 803 Medical Device Reporting

The two procedures, employed in support of reporting adverse events, are:

- QM.SLQ022.A – Medical Device Reporting; and
- QM.SLQ023.A – eMDR Submission Work Instruction.

Procedures employed in support of the eMDR process meet the regulatory requirements delineated within 21 CFR, Part 803. MDRs will be filled electronically (eMDR) through the FDA's Gateway in accordance with QM.SLQ023.A – eMDR Submission Work Instruction. Written procedures adequately address the FDA's regulatory requirements delineated within 21 CFR, Part 803. Note: SILQ has not filed a MDR in 2023. The SILQ complaint procedure (QM.SLQ021.C – Product Complaint System) has been referenced in QM.SLQ022.A (*reference 3.1.1*).

21 CFR, Part 806 Medical Devices; Reports of Corrections and Removals

SILQ has scripted QM.SLQ030.A – Advisory Notices and Recalls in support of corrections and removals. QM.SLQ030.A, as scripted by SILQ, complies with 21 CFR, Part 806 requirements. *Note: SILQ has not had to perform a market withdraw in 2023.*

Non-Conformance(s) (Finding(s))

There were no non-conformances (findings) noted as a result of this audit.

Concern(s)

There were three (3) observations that this auditor has categorized as a concern. A concern is the performance of a practice or an observation that may result in future non-conformances if the practice or observation is not addressed. A concern could be interpreted by another auditor or inspector from a regulatory body as a non-conformance. Table 2.0 depicts the concerns noted during this assessment.

Table 2.0 – Concerns Noted

Concern Number	Requirement	Concern Noted
1	ISO 13485:2016, Clauses 5.1 & 5.4.1	As of this audit, the quality objectives are under development. This was also noted in the Dec 2022 Management Review Meeting Minutes.
2	ISO 13485:2016, Clause 7.6	Tag/Out log out policy to prevent use of uncalibrated equipment

Concern Number	Requirement	Concern Noted
		needs to be enforced. Note: there is no requirement to calibrate equipment within its stated cycle; however, if a decision is made not to calibrate equipment due to lack of need, the equipment shall be adequately identified as to its status as to prevent use.

Recommendation(s)

There were two (2) recommendations made as a result of this audit. Please note; DGII does not grant warranty for the potential benefits and/or effectiveness of recommendations. However, similar recommendations have been beneficial to other DGII clients when implemented. Table 3.0 contains a compilation of the recommendations noted.

Table 3.0 – Recommendation(s)

Number	Requirement	Recommendation
1	ISO 13485:2016, Clause 7.3.5	RM-0019, Rev D is referencing ISO 14971:2012 requirements in the tables. Recommend that risk management documentation be reviewed and revised to reflect ISO 14971:2019 requirements.
2	ISO 13485:2016, 8.2.2	Regulators expect to see some level of clinical oversight for decisions made regarding adverse events and potential patient injury. The current practice currently enforced by FDA is to ensure an individual with a clinical background also review and approve decisions pertaining to the need to file an adverse event (eMDR) with FDA or pursue similar actions with other regulatory bodies. Recommend adding a clinical reviewer to the complaint form.

Conclusion

This was the second assessment this auditor has performed for SILQ Technologies, Inc. Bryan Wong (Director of QA) has done a fabulous job scripting QMS procedures needed to sustain compliance with applicable quality, regulatory, and statutory requirements. *Note: this is the first assessment that has resulted in zero findings (non-conformances) identified in 2023, by this auditor.* This type of performance continues to be a direct reflection of the professionalism associated with the SILQ Team. In closing, this auditor found the SILQ Technologies, Inc. Quality Management System to be in compliance with the requirements delineated within ISO 13485:2016, and 21 CFR, Parts 803, 806, & 820 on the 15th through 17th days of November 2023. Well Done!

Respectfully Submitted,

___________________________________ Date: 19 November 2023
Christopher J. Devine, Ph.D.
President
Devine Guidance International, Inc.